

DRUMOAK CAPITAL
Cohort PLC (CHRT)
Equity Research Report

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DRUMOAK
CAPITAL

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Cohort PLC

Lon: CHRT | Aerospace & Defence Electronics | AIM

Rating BUY	Current Share Price (Model Reference)	1,194p
	Target Price (12-Months)	1,839p
	Implied Upside	+54.0%
	Market Capitalisation	£556.4m
	Diluted Shares in Issue	44.6m

1. Executive Summary

Drumoak Capital initiates coverage of Cohort PLC (LON: CHRT) with a BUY rating and a 12-month target price of 1,839p, implying a 54.0% upside from a current reference price of 1,194p. Cohort is a UK-headquartered defence electronics group operating through seven specialist subsidiaries spanning naval sonar, electronic warfare, secure communications and surveillance systems. The thesis rests on the view that consensus and the current share price have not kept pace with the structural improvement in the group's growth, margin, and cash-generation profile, which is now visible in the order book and reflected in the model.

The recommendation is model-driven rather than narrative-led. A three-method blended valuation, weighted 50% discounted cash flow, 30% trading comparables and 20% residual income, produces a target price of 1,839p. The dividend discount model is retained for completeness but excludes from the blend: it values Cohort at 624p, a result that reflects the group's low payout ratio and reinvestment-led capital allocation rather than a genuine valuation ceiling, and we do not consider it informative for a growth-stage defence electronics business.

Three Core Investment Theses

- 1) Revenue growth: Structural NATO and UK rearmament spending supports a forecast revenue CAGR of 6.8% from FY26A to FY34E, taking group revenue from £306.4m to £519.2m
- 2) Margin Expansion: Operating leverage and a richer software and sensor mix lift the adjusted EBIT margin from 11.8% in FY26A to 15.0% by FY34E, with gross margin widening from 33.9% to 40.0% by FY29E.
- 3) Cash Generation: Unlevered free cash flow £46.1m in FY27E to £55.2m in FY34E, moving the group from a near-nil net cash position in FY26A to a £247.2m net cash balance by FY34E and materially de-risking the balance sheet.

Target Price Bridge	Value
Current Share Price (Model Reference)	1,194p
Blended Target Price (12-month)	1,839p
Implied Upside	+54.0%

Cohort trades at 12.9x EV/EBITDA, against a peer median of 17.9x, despite a growth and margin profile that compares favourably with larger-cap defence peers. We see the discount as unjustified and expect it to narrow as FY27E and FY28E results confirm the margin trajectory embedded in our model.

2. COMPANY OVERVIEW

Cohort plc is an AIM-listed holding company for seven operating businesses in the defence and security electronics sector, headquartered in Reading, with additional operations in Portugal, Germany, and Australia and around 1,600 employees group-wide. The group is organised into two reporting segments:

Communications and Intelligence, comprising EID, EM Solutions, MASS and MCL, and Sensors and Effectors, comprising Chess Dynamics, ELAC SONAR and SEA.

EID designs and manufactures tactical and naval communications systems for military customers, with a strong Portuguese and export order book. EM Solutions, acquired in January 2025, supplies satellite communications-on-the-move terminals for naval and government customers, extending the Group's footprint in Australia. MASS is a specialist data technology business focused on electronic warfare, digital services and training support for UK and allied forces. MCL sources and supports advanced electronic and surveillance technology, principally for the UK Ministry of Defence.

Chess Dynamics supplies surveillance, tracking and fire-control systems, including counter-drone optronics that have seen elevated demand from NATO European customers in the wake of the Ukraine conflict. ELAC SONAR, acquired in December 2020, supplies sonar and underwater communications systems to naval customers, including a significant Italian Navy submarine sonar programme. SEA delivers naval defence technology and training services, including towed sonar arrays, and secured a £135m Royal Navy contract in 2024.

Corporate Structure

Segment	Subsidiary	Core Activity
Communications and Intelligence	EID	Tactical and naval communications systems
	EM Solutions	Satellite communications-on-the-move terminals
	MASS	Electronic warfare, digital services and training
	MCL	Electronic and surveillance technology sourcing
Sensors and Effectors	Chess Dynamics	Surveillance, tracking and fire-control, including counter-drone
	ELAC SONAR	Sonar and underwater communications systems
	SEA	Naval defence technology and training services

Customers are concentrated in the UK Ministry of Defence and NATO member navies and defence ministries, with a growing export order book in continental Europe reflecting the wider European rearmament effort. The revenue base is contracted rather than speculative: the majority of near-term forecast growth is underpinned by orders already in the book rather than assumed new business, which we view as a supportive feature of the model's revenue assumptions discussed in Section 4.

3. INDUSTRY AND MACRO DRIVERS

The investment case for European defence electronics rests on a structural, multi-year increase in allied defence spending rather than a cyclical uplift. At the 2025 NATO summit in The Hague, member states

agreed on the Hague Investment Plan, committing to raise total defence and security-related expenditure to 5% of GDP by 2035, comprising 3.5% of GDP on core defence requirements and up to 1.5% on broader security-related investment, including critical infrastructure and defence-industrial capacity. European allies and Canada raised combined defence expenditure by close to 20% in real terms in 2025 and are projected to spend a further \$634bn in 2026, an increasing share of total NATO expenditure.

The UK has committed to reaching 2.6% of GDP on the NATO definition of defence spending in 2026, rising to 3.5% of GDP on core defence by 2035 under the Defence Investment Plan, with total UK defence spending projected to reach £79.1bn by 2029/30 from £62.0bn in 2025/26. Beyond headline budget growth, the composition of spending is shifting in Cohort's favour: electronic warfare, counter-drone systems, sonar and underwater surveillance, and secure naval communications have all been identified as priority capability gaps following lessons drawn from the war in Ukraine, where low-cost drone warfare and contested undersea environments have exposed shortfalls in legacy Western systems.

I see three specific channels through which this macro backdrop supports Cohort's order book. First, direct UK MOD procurement across MASS (electronic warfare), MCL and SEA (naval systems) benefits mechanically from the domestic budget increase. Second, export demand for Chess Dynamics counter-drone and optronics systems and ELAC SONAR underwater systems is being pulled forward by European allies rearming outside the UK's own budget cycle, including through the EU's Readiness 2030 programme, which aims to mobilise up to €800bn in European defence investment. Third, EID's Portuguese base and EM Solutions' Australian base, given the Group's NATO and Five Eyes-adjacent export routes that are less exposed to any single national procurement cycle, a diversification benefit I return to in Section 11.

The revenue growth assumptions in Section 4 are not dependent on further escalation of the 5% GDP target being met in full. Even a partial delivery of the announcement of European and UK spending increases, concentration in the electronic warfare, sonar and naval communication niches in which Cohort operates, is sufficient to support the model's high single-digit near-term growth rates.

4. INVESTMENT THESIS 1: REVENUE GROWTH

The model forecasts Group revenue growing from £306.4m in FY26A to £519.2m in FY34E, a CAGR of 6.8%, with the strongest growth concentrated in the near-term forecast window as recently won contracts move through delivery. Growth then normalises toward mid-single digits in the outer forecast years as the base effect of recent order intake fades, a conservative assumption considered appropriate given the uncertainty inherent in forecasting defence procurement eight years out.

	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E
Revenue (£m)	306.4	327.4	362.4	391.8	419.2	448.5	475.5	499.2	519.2
Growth (%)	-	6.9%	10.7%	8.1%	7.0%	7.0%	6.0%	5.0%	4.0%

The FY28E growth spike to 10.7% is the single largest assumption driving the near-term model and warrants scrutiny rather than being taken at face value. It reflects the delivery phasing of contracts already secured, principally within SEA and Chess Dynamics, rather than an assumption of incremental new-order wins, which is why we view it as a lower-risk driver of the thesis than a generic “defence spending is rising” narrative would imply. Investors should nonetheless treat FY28E as the single year in the forecast most exposed to programme slippage risk, addressed further in section 11.

Over the full forecast horizon, revenue rises by 69.4% from FY26A to FY34E. I would caution against reading this as a linear re-rating input: the more decision-useful figure for valuation purposes is the 6.8% CAGR, which is used to sense-check the DCF’s explicit forecast-period growth against the terminal growth assumption in Section 8.

Revenue growth is underwritten by increases in structural allied fence spending rather than by a single large contract. No individual subsidiary is forecast to contribute more than approximately a third of Group revenue, providing some diversification against programme-specific delay risk.

5. INVESTMENT THESIS 2: MARGIN EXPANSION

Revenue growth alone understates the earnings power embedded in the model. Adjusted EBIT grows from £36.3m in FY26A to £77.8m in FY34E, more than doubling as the adjusted EBIT margin expands from 11.8% to 15.0% over the same period. The margin expansion is driven by two effects: gross margin improvement as the revenue mix shifts toward higher-value electronic warfare and sonar systems, and operating leverage as fixed overhead is spread across a larger revenue base.

Metric	FY26A	FY29E	FY34E
Adjusted EBIT (£m)	36.3	53.7	77.8
Adjusted EBIT Margin	11.8%	13.7%	15.0%
Gross Margin	33.9%	40.0%	38.5%
Adjusted Diluted EPS (p)	60.8	85.5	126.6

On EPS, the model implies a FY26A-FY34E CAGR of 9.6%, ahead of the 6.8% revenue CAGR, which is the correct evidentiary basis for the claim that earnings growth exceeds revenue growth. We would push back on any characterisation of this as a doubling of the growth rate: on our figures, EPS growth runs at approximately 1.4 times the rate of revenue growth, not twice, and I think the more moderate framing is the more defensible one to carry into client-facing materials, particularly given how sensitive the outer-year EPS figure is to the margin assumptions discussed above.

Margin expansion is more differentiated and less consensus element of the thesis relative to top-line growth, which is well understood by the market. I see FY27E-FY29E gross margin delivery as the single most important near-term data point for the stock, and would treat any stalling of gross margin below the 36-38% range as an early warning sign for the thesis.

6. INVESTMENT THESIS 3: CASH FLOW/BALANCE SHEET STRENGTH

The model's third pillar is financial quality rather than growth. Unlevered free cash flow grows from £46.1m in FY27E to £55.2m in FY34E, and the Group moves to a near-nil net cash position of £2.2m in FY26A to net cash of £247.2m by FY34E. This transition is a function of both improving cash conversion, as working capital investment normalises after a working-capital-heavy FY26A, and a disciplined capital allocation policy that keeps capital expenditure at approximately 2.1% of revenue throughout the forecast period.

	FY26A	FY27E	FY29E	FY31E	FY34E
Net cash / (debt) (£m)	2.2	31.9	79.3	140.8	247.2
Unlevered FCF (£m)	-	46.1	40.8	47.8	55.2

I view the balance sheet trajectory as strategically significant beyond its direct contribution to valuation. A defence electronics group building £247.2m of net cash by FY34E, against a diluted share count of 46.6m, has meaningful optionality for bolt-on acquisitions of the type the Group has used historically to add capability (EID in 2026, ELAC SONAR in 2020, Chess Dynamics in 2018, EM Solutions in 2025), for increased shareholder returns, or both. None of this optionality value is explicitly captured in the DCF, which I consider a conservative omission rather than an aggressive one.

The FY26A net cash position of £2.2m, down from £5.2m in FY25A, reflects a working-capital-heavy year driven by a £49.8m build in receivables. We do not read this as a deterioration in underlying cash generation, since the model's own working capital assumptions indicate this will reverse from FY27E onward, but it is worth monitoring in the FY27 interim results.

7. FINANCIAL FORECAST SUMMARY

The table below consolidates the model's key outputs across the near-term forecast window. All figures are drawn directly from the underlying model and are consistent with the detailed build-up presented in Sections 4 to 6.

£m unless stated	FY26A	FY27E	FY28E	FY29E
Revenue	306.4	327.4	362.4	391.8
Adjusted EBITDA	43.8	49.1	52.3	58.3
Adjusted EBIT	36.3	41.6	47.7	53.7
Adjusted Diluted EPS (p)	60.8	66.8	74.9	85.5
Net Cash	2.2	31.9	56.1	79.3
EV/EBITDA (at 1,194p)	15.3x	15.0x	16.0x	16.5x

P/E (at 1,194p)	23.5x	17.9x	15.9x	14.0x
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The rising EV/EBITDA and falling P/E through the explicit forecast period is a useful sense check in its own right: on an unchanged share price, Cohort would be trading on a FY29E P/E of 14.0x against a current-year multiple of 23.5x, a re-rating dynamic that is typical of a business moving through an investment and margin-recovery phase and is consistent with the market-implied discount identified in the comparable company analysis in section 9.

8. DCF VALUATION

The discounted cash flow analysis is the primary valuation methodology and carries the largest weight, 50%, in the blended target price. It discounts the explicit unlevered free cash flow forecast from FY27E to FY34E at a WACC of 7.26%, together with a terminal value calculated using a 2.5% perpetuity growth rate broadly in line with long-run UK nominal GDP growth.

WACC Build-up

Component	Value
Risk-free Rate	5.05%
Equity Risk Premium	4.17%
Levered Beta	0.59
Cost of Equity	7.51%
Pre-tax Cost of Debt	5.27%
Tax Rate	23%
After-tax Cost of Debt	4.06%
Equity Weight / Debt Weight	92.8% / 7.2%
WACC	7.26%

Valuation Output

	£m / p
PV of Explicit Forecast FCF (FY27E-FY34E)	£276.2m
PV of Terminal Value	£678.0m
Enterprise Value	£954.3m
Add: Cash	£49.6m
Less: Borrowings	(£47.4m)

Less: Non-Controlling Interests	(£1.8m)
Equity Value	£954.7m
Diluted Shares in Issue	46.6m
Implied Value per Share	2,049p
Upside vs. 1,194p Current Price	+71.6%

WACC / Terminal Growth Sensitivity - Implied Value per Share (p)

WACC	1.5%	2.0%	2.5%	3.0%	3.5%
6.5%	2,065	2,234	2,446	2,718	3,081
7.0%	1,872	2,006	2,170	2,374	2,638
7.5%	1,711	1,819	1,949	2,108	2,306
8.0%	1,575	1,664	1,769	1,894	2,048
8.5%	1,459	1,533	1,618	1,720	1,841

The DCF implies approximately 72% upside on its own and is the strongest single support for the BUY recommendation. We would flag that this is the most assumption-sensitive of the three weighted methodologies, which is precisely why it is weighted at 50% rather than 100%, and why the trading comparables and residual income methods in Sections 9 and 10 matter to the overall conclusion

9. COMPARABLE COMPANY ANALYSIS

The comparable company analysis is made to validate the DCF conclusion using market-based evidence rather than model assumptions. I selected seven listed defence peers spanning naval, electronic warfare and diversified defence electronics: Saab, Chemring, BAE Systems, QinetiQ, Elbit Systems, HENSOLDT, and L3Harris Technologies.

Company	EV/Sales	EV/EBIT	EV/EBITDA	P/E FY1
Cohort	1.9x	18.3x	12.9x	18.1x
Saab B	3.8x	37.3x	28.2x	42.6x
Chemring	3.4x	25.7x	17.9x	28.3x
QinetiQ Group	1.5x	14.1x	9.2x	15.7x

Elbit Systems	4.1x	43.9x	35.8x	48.7x
HENSOLDT	4.0x	38.2x	23.5x	47.1x
L3Harris Technologies	2.5x	22.8x	15.6x	22.0x
Peer Median (Ex-Cohort)	3.4x	25.7x	17.9x	28.3x

Cohort trades on 12.9x LTM EV/EBITDA against a peer median of 17.9x, a discount of approximately 28%, despite EBIT and EBITDA margins that sit within the range of the peer group rather than meaningfully below it. I do not think this discount is explained by a structural quality gap; it is more consistent with Cohort's smaller market capitalisation and lower trading liquidity relative to large-cap peers such as BAE Systems and L3Harris, both of which I would expect to command a premium multiple on scale and diversification alone.

Method	Selected Multiple	Cohort Metric	Implied Price (p)
EV/Sales	3.36x	£306.4m	2,210
EV/EBITDA	17.87x	£44.8m	1,719
EV/EBIT	25.66x	£31.5m	1,735
FY1 P/E	28.29	66.8p	1,889
Median Implied Price			1,812

The comparable company analysis is the most conservative of the three weighted valuation methods, and its independent confirmation of a large valuation gap, using no DCF assumptions at all, is the strongest piece of market-based evidence in the report.

10. VALUATION SUMMARY

The target price blends three valuation methodologies, each capturing a different lens on the intrinsic value: the DCF (Section 8), trading comparables (Section 9), and a residual income model (Appendix D), which grounds valuation in the return the business generates on its book value of equity. The dividend discount model is calculated in full in Appendix E but is excluded from the blend for the reasons set out below.

Method	Implied Value (p)	Weight	Weighted Value (p)
DCF	2,049	50%	1,024
Trading Comparables	1,812	30%	544

Residual Income	1,355	20%	271
DDM (reference only)	624	0%	0
Blended Target Price		100%	1,839

The three weights methods span a range of 1,355p to 2,049p, a spread of roughly 700p, which is a meaningful degree of dispersion and one I think investors should sit with rather than anchor solely on the headline blended figure. The residual income method, grounded in book value and the spread between return on equity and the 7.51% cost of equity, is structurally the most conservative of the three and provides a useful floor: even at the low end of the range, Cohort still screens as undervalued by 13.5% against the current price.

The DDM is excluded from the blend because its output of 624p, a 47.7% discount to the current price, is an artefact of Cohort's low dividend payout ratio (30-32% across the forecast period) rather than a signal about intrinsic value. A dividend-based method systematically underestimates the value of a business that retains the majority of its earnings to fund growth and strengthen its balance sheet, which is exactly the behaviour rewarded by the other two weighted methods. I include it in the appendix for completeness, learning and transparency, not because I think that it is a credible standalone valuation for this business.

	Value
Blended Target Price	1,839p
Current Share Price (model reference)	1,194p
Implied Upside	+54.0%

The weighting scheme (50% DCF, 30% comparables, 20% residual income) deliberately caps the influence of the single most assumption-sensitive method. Even if the DCF were excluded entirely, a comparables/residual income blend alone would still imply a target price of approximately 1,624p, or +36% upside, meaning the thesis does not depend on DCF assumptions holding exactly.

11. RISK ANALYSIS

We set out below the principal risks to the thesis, together with our assessment of how each interacts with model.

Defence procurement delays

UK and European defence procurement is subject to political and administrative timelines that can slip by quarters or years. The FY28E revenue growth assumption of 10.7% is the single most exposed data point in the model to this risk, as flagged in Section 4. A one-year slip in major SEA or Chess Dynamics delivery would push growth into FY29E rather than eliminate it, but would delay the cash flow and margin inflection the market is likely to reward.

Lower-than-expected defence budgets

The UK's Defence Investment Plan, underpinning the 3.5% of GDP core defence targets, has faced scrutiny over costing, and the National Audit Office has previously identified an equipment plan funding gap. A material downward revision to UK or European budget trajectories would compress the revenue growth assumptions in Section 4, though Cohort's export exposure to non-UK NATO members provides some offset.

Contract Execution Risk

Fixed-price defence contracts carry execution risk from cost overruns, technical failures or supply chain disruption. A material execution failure on a large programme would flow directly through to both the EBIT margin assumptions in Section 5 and customer relationships underpinning future order intake.

Acquisition integration risk

Cohort has grown historically through bolt-on acquisitions (EID, ELAC SONAR, Chess Dynamics, EM Solutions) and the balance sheet strength built out in Section 6 makes further M&A likely. Integration risk, and the risk of overpaying for further targets, is not explicitly modelled and represents a source of both upside and downside optionality that sits outside our base case.

Margin expansion underperformance

The margin thesis in Section 5 depends on a mix shift toward higher-value systems and continued operating leverage. If gross margin fails to progress beyond the FY26A level of 33.9%, the EPS CAGR advantage over revenue growth narrows materially, and the residual income valuation in Appendix D, which is sensitive to the spread between return on equity and cost of equity, would be the most affected of the three weighted methods.

Export restrictions

EID (Portugal) and EM Solutions (Australia) expose Cohort to export licensing regimes in multiple jurisdictions. Tightening export controls, whether UK, EU or third-country, could delay or block specific contracts, particularly in the sonar and communications product lines with the highest export intensity.

APPENDIX A: DCF ASSUMPTIONS AND SENSITIVITY

Explicit forecast period (FY27E-FY34E)

£m	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E
Revenue	327.4	362.4	391.8	419.2	448.5	475.5	499.2	519.2
EBIT	41.6	47.7	53.7	58.7	63.7	68.0	71.4	74.2
EBIT margin	12.7%	13.2%	13.7%	14.0%	14.2%	14.3%	14.3%	14.3%
NOPAT	32.0	35.8	40.8	45.2	49.0	52.4	55.0	57.2
D&A	13.4	10.5	10.5	10.5	10.5	10.5	10.5	10.5
Capex	7.0	8.0	8.2	8.8	9.4	10.0	10.5	10.9
Change in NWC	7.7	2.5	(2.3)	(2.2)	(2.3)	(2.1)	(1.9)	(1.6)
Unlevered FCF	46.1	40.8	40.8	44.7	47.8	50.7	53.1	55.2
Discount factor	0.93	0.87	0.81	0.76	0.70	0.66	0.61	0.57
PV of FCF	43.0	35.4	33.1	33.8	33.7	33.3	32.5	31.5

Terminal value

	Value
Terminal growth rate	2.5%
Terminal year (FY34E) unlevered FCF	£55.2m
Terminal value (undiscounted)	£1,187.9m
PV of terminal value	£678.0m
Terminal value as % of enterprise value	71.0%

WACC / terminal growth sensitivity - implied upside vs. 1,194p

WACC	1.5%	2.0%	2.5%	3.0%	3.5%
6.5%	73.0%	87.1%	104.8%	127.6%	158.0%
7.0%	56.8%	68.0%	81.7%	98.9%	120.9%

7.5%	43.3%	52.4%	63.2%	76.5%	93.1%
8.0%	31.9%	39.4%	48.1%	58.6%	71.5%
8.5%	22.2%	28.4%	35.5%	44.0%	54.2%

APPENDIX B: COMPARABLE COMPANY DATA

Company	Ticker	Mkt Cap (£m)	EV (£m)	LTM Sales	EV/EBIT DA	P/E FY1	EBITDA Margin
Cohort	CHRT-GB	574.5	576.9	306.4	12.9x	18.1x	15.7%
Saab B	SAAB.B-SE	26,917.1	26,660.4	7,020.3	28.2x	42.6x	14.8%
Chemring	CHG-GB	1,553.9	1,683.4	500.5	17.9x	28.3x	20.5%
BAE Systems	BA-GB	61,919.8	64,509.8	29,380.0	16.8x	25.1x	14.1%
QinetiQ Group	QQ-GB	2,816.6	2,889.9	1,922.6	9.2x	15.7x	17.3%
Elbit Systems	ESLT-IL	26,074.0	25,678.9	6,347.4	35.8x	48.7x	12.7%
HENSOLDT	HAG-DE	8,595.8	9,200.7	2,327.3	23.5x	47.1x	19.1%
L3Harris Technologies	LHX-US	36,223.1	43,311.5	17,085.5	15.6x	22.0x	18.3%

APPENDIX C: HISTORICAL FINANCIALS

Income Statement (£m)

	FY24A	FY25A	FY26A
Revenue	202.5	270.0	306.4
Gross profit	76.3	90.4	104.3
Gross margin	37.7%	33.5%	33.9%
Adjusted EBITDA	25.7	32.9	43.8
Adjusted EBIT	21.1	27.5	36.3
Adjusted EBIT margin	10.4%	10.2%	11.8%
Adjusted PBT	19.8	27.0	34.3

Adjusted PAT	15.3	21.0	26.0
Adjusted diluted EPS (p)	42.7	53.5	60.8

Balance sheet (£m)

	FY24A	FY25A	FY26A
Goodwill and intangibles	52.9	130.5	128.8
Net PPE and RoU	27.2	40.7	51.3
Cash and equivalents	55.2	74.6	49.6
Trade receivables	79.4	89.0	129.9
Total assets	252.4	401.3	421.1
Borrowings (current + non-current)	32.0	69.4	47.4
Total equity (incl. NCI)	110.0	160.2	188.2
Net cash / (debt)	23.2	5.2	2.2

Cash flow statement (£m)

	FY24A	FY25A	FY26A
Operating cash flow	31.9	39.1	49.1
Movement in working capital	(2.3)	19.2	(33.8)
Cash from operations	29.6	58.3	15.3
Capital expenditure	(6.7)	(13.2)	(17.6)
Dividends paid	(5.6)	(6.5)	(7.7)
Net increase / (decrease) in cash	(1.1)	1.5	5.4

APPENDIX D: RESIDUAL INCOME MODEL

The residual income model values equity as the current book value of equity plus the present value of future residual income, defined as net income less an equity charge (opening book value multiplied by the cost of equity). It is included as a weighted method because it anchors valuation to accounting book value and profitability rather than to a discretionary terminal growth or peer multiple assumption, providing a useful cross-check on the DCF and comparables methods.

	Value
Cost of equity	7.51%
Opening book value per share (FY26A)	400p
PV of explicit residual income (FY27E-FY34E)	£280.5m
PV of terminal residual income	£674.5m
Implied value per share	1,355p
Upside vs. 1,194p current price	+13.5%

APPENDIX E: DIVIDEND DISCOUNT MODEL (REFERENCE ONLY)

The DDM is presented for completeness and is not weighted in the blended target price, for the reasons discussed in Section 10. It discounts the explicit dividend forecast plus a terminal dividend value at the 7.51% cost of equity.

	Value
Cost of equity	7.51%
Terminal growth rate	2.5%
PV of forecast dividends (FY27E-FY34E)	£174.3m
PV of terminal dividend value	£449.8m
Implied value per share	624p
Upside / (downside) vs. 1,194p current price	(47.7%)

Key Financials & Valuation Overview										
<i>£m, except per-share data and multiples</i>	FY25A	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E
Revenue	270.0	306.4	327.4	362.4	391.8	419.2	448.5	475.5	499.2	519.2
Adjusted EBIT	27.5	36.3	41.6	47.7	53.7	60.7	67.2	71.2	74.8	77.8
Adjusted EBITDA	32.9	43.8	49.1	52.3	58.3	65.3	71.8	75.8	79.4	82.4
Adjusted Pre-Tax Profit	27.0	34.2	39.6	45.6	51.5	58.7	65.2	69.2	72.8	75.8
Adjusted Diluted EPS	53.5p	60.8p	66.8p	74.9p	85.5p	98.3p	109.1p	115.8p	121.6p	126.6p
Dividend per Share	16.3p	17.9p	21.2p	23.1p	25.2p	30.5p	33.8p	35.9p	37.7p	39.2p
Net Cash / (Debt)	5.2	2.2	31.9	56.1	79.3	108.7	140.8	174.7	210.2	247.2
P/E	26.8x	23.5x	17.9x	15.9x	14.0x	12.1x	10.9x	10.3x	9.8x	9.4x
EV/EBITDA	20.4x	15.3x	15.0x	16.0x	16.5x	17.2x	17.4x	17.6x	17.7x	17.8x

Income Statement

£m, except per-share data and margins

	H1 26A	H2 26A	FY24A	FY25A	FY26A	FY27E	FY28E	FY29E	FY30E
Revenue and Gross Profit									
Revenues	128.80	177.60	202.50	270.00	306.40	327.39	362.42	391.77	419.20
Gross Profit	41.90	62.40	76.30	90.40	104.30	117.86	137.72	156.71	167.68
Gross Margin	32.5%	35.2%	37.7%	33.5%	33.9%	36.0%	38.0%	40.0%	40.0%
Cost of Sales	(86.9)	(115.1)	(55.1)	(63.0)	(202.0)	(209.5)	(224.7)	(235.1)	(251.5)
Op-ex excluding one-off items	(32.2)	(35.8)	(55.1)	(63.0)	(68.0)	(76.2)	(90.0)	(103.0)	(106.9)
Amoritisation Intangibles	(2.6)	(3.3)	(3.1)	(3.0)	(5.9)	(5.9)	(5.9)	(5.9)	(5.9)
R&D Credits	-	3.6	2.9	3.3	3.6	3.0	3.0	3.0	3.0
Forex	0.3	(0.3)	0.3	0.1	-	-	-	-	-
One-off charges	0.5	-	-	(1.7)	0.5	-	-	-	-
Operating Profit									
EBIT rptd	8.00	26.70	21.20	26.10	34.70	38.78	44.79	50.81	57.88
EBIT (adj.)	9.70	26.60	21.10	27.50	36.30	41.58	47.69	53.71	60.68
EBIT Margin (adj.)	7.5%	15.0%	10.4%	10.2%	11.8%	12.7%	13.2%	13.7%	14.5%
Amoritisation Intangibles	(2.60)	(3.30)	(3.10)	(3.00)	(5.90)	(5.9)	(5.9)	(5.9)	(5.9)
Depreciation PPE	(2.60)	(2.00)	(2.60)	(3.20)	(4.60)	-4.6	-4.6	-4.6	-4.6
Depreciation RoU	(1.30)	(1.50)	(2.00)	(2.30)	(2.80)	-2.9	0.0	0.0	0.0
EBITDA									
EBITDA Reported	14.50	33.50	28.90	34.60	48.00	52.18	55.29	61.31	68.38
EBITDA Adjusted	13.60	30.20	25.70	32.90	43.80	49.08	52.29	58.31	65.28
Margin	10.6%	17.0%	12.7%	12.2%	14.3%	15.0%	14.4%	14.9%	15.6%
Financial Income	0.2	0.2	0.5	1.1	0.4	0.5	0.5	0.5	0.5
Financial Expense	(1.1)	(1.4)	(1.9)	(1.6)	(2.5)	(2.5)	(2.6)	(2.7)	(2.5)
Pre-Tax Profit									
PBT Reported	7.1	25.5	19.8	25.6	32.6	36.8	42.7	48.6	55.9
PBT Adjusted	8.8	25.5	19.8	27.0	34.3	39.6	45.6	51.5	58.7
Tax	(1.1)	(7.2)	(4.5)	(6.0)	(8.3)	(8.5)	(10.7)	(11.7)	(12.9)
Reported Tax Rate	15.1%	28.4%	22.9%	23.4%	23.1%	23.0%	25.0%	24.0%	23.0%
Net Income and EPS									
PAT Reported	6.0	18.3	15.3	19.6	24.3	28.3	32.0	36.9	43.0
PAT Adjusted	7.7	18.3	15.3	21.0	26.0	31.1	34.9	39.8	45.8
Basic Weighted Average Shares (m)	45.6	45.8	40.4	42.7	45.8	45.8	45.8	45.8	45.8
Diluted Weighted Average Shares (m)	46.5	46.6	40.6	43.5	46.6	46.6	46.6	46.6	46.6
EPS Reported (p)	13.4	24.8	37.9	45.1	52.2	61.8	69.9	80.7	94.0
EPS Adjusted Diluted (p)	15.8	31.8	42.7	53.5	60.8	66.8	74.9	85.5	98.3

FY31E	FY32E	FY33E	FY34E
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448.54	475.46	499.23	519.20
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179.42	187.80	194.70	199.89
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40.0%	39.5%	39.0%	38.5%
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(269.1)	(287.7)	(304.5)	(319.3)
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(112.1)	(116.5)	(119.8)	(122.0)
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(5.9)	(5.9)	(5.9)	(5.9)
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3.0	3.0	3.0	3.0
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-	-	-	-
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-	-	-	-
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64.38	68.42	71.98	74.98
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67.18	71.22	74.78	77.78
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15.0%	15.0%	15.0%	15.0%
-------	-------	-------	-------

(5.9)	(5.9)	(5.9)	(5.9)
-------	-------	-------	-------

-4.6	-4.6	-4.6	-4.6
------	------	------	------

0.0	0.0	0.0	0.0
-----	-----	-----	-----

74.88	78.92	82.48	85.48
--------------	--------------	--------------	--------------

71.78	75.82	79.38	82.38
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16.0%	15.9%	15.9%	15.9%
-------	-------	-------	-------

0.5	0.5	0.5	0.5
-----	-----	-----	-----

(2.5)	(2.5)	(2.5)	(2.5)
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62.4	66.4	70.0	73.0
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65.2	69.2	72.8	75.8
------	------	------	------

(14.3)	(15.3)	(16.1)	(16.8)
--------	--------	--------	--------

23.0%	23.0%	23.0%	23.0%
-------	-------	-------	-------

48.0	51.1	53.9	56.2
------	------	------	------

50.8	53.9	56.7	59.0
-------------	-------------	-------------	-------------

45.8	45.8	45.8	45.8
------	------	------	------

46.6	46.6	46.6	46.6
------	------	------	------

104.9	111.7	117.7	122.7
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109.1	115.8	121.6	126.6
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Cash Flow Statement

£m

H1 26A H2 26A FY24A FY25A FY26A FY27E FY28E FY29E FY30E FY31E FY32E

Operating Activities

PAT rptd	6.0	18.3	15.3	19.6	24.3	28.3	32.0	36.9	43.0	48.0	51.1
Tax	1.1	3.6	4.5	6.0	4.7	8.5	10.7	11.7	12.9	14.3	15.3
Depreciation	4.0	3.5	4.6	5.5	7.5	7.5	4.6	4.6	4.6	4.6	4.6
Amoritisation	2.6	3.3	3.1	3.0	5.9	5.9	5.9	5.9	5.9	5.9	5.9
Finance Net	0.9	1.2	1.4	0.5	2.1	2.0	2.1	2.2	2.0	2.0	2.0
Derivatives/Forex	(0.3)	0.3	(0.3)	(0.1)	-	-	-	-	-	-	-
Share-based payments	0.9	0.3	1.1	0.7	1.2	2.0	2.0	2.0	2.0	2.0	2.0
Provisions	2.2	1.2	2.2	3.9	3.4	-	-	-	-	-	-

Operating Cash Flow	17.4	31.7	31.9	39.1	49.1	54.2	57.3	63.3	70.4	76.9	80.9
(Inc)/Dec Inventories	(4.9)	11.6	(1.4)	(7.1)	6.7	(5.8)	(0.8)	(4.4)	(4.1)	(4.4)	(4.1)
(Inc)/Dec Receivables	(30.0)	(19.8)	(24.7)	(8.9)	(49.8)	26.7	(16.0)	(9.7)	(9.0)	(9.7)	(8.9)
(Inc)/Dec Payables	(10.3)	19.6	23.8	35.2	9.3	(13.2)	19.3	11.8	11.0	11.7	10.8
Movement in Working Capital	(45.2)	11.4	(2.3)	19.2	(33.8)	7.7	2.5	(2.3)	(2.2)	(2.3)	(2.1)

Cash from Operations	(27.8)	43.1	29.6	58.3	15.3	61.9	59.8	61.0	68.2	74.5	78.8
Interest Paid	(2.5)	-	(1.9)	(1.6)	(2.5)	(6.4)	(6.3)	(6.2)	(2.5)	(2.5)	(2.5)
Tax (Paid)/Received	(1.1)	(0.2)	(4.7)	(5.5)	(1.3)	(8.5)	(10.7)	(11.7)	(12.9)	(14.3)	(15.3)
Net Cash from Operations	(31.4)	42.9	23.0	51.2	11.5	47.0	42.8	43.1	52.8	57.7	61.0

Investing Activities

Interest Received	0.2	0.2	0.5	1.1	0.4	0.5	0.5	0.5	0.5	0.5	0.5
PPE	(10.3)	(7.3)	(6.7)	(13.2)	(17.6)	(7.0)	(8.0)	(8.2)	(8.8)	(9.4)	(10.0)
Acquisition	5.9	-	-	(81.6)	5.9	-	-	-	-	-	-
Net Cash Investing	(4.2)	(7.1)	(6.2)	(93.6)	(11.3)	(6.5)	(7.5)	(7.7)	(8.3)	(8.9)	(9.5)
Net OpFCF	(36.0)	35.4	15.8	(44.7)	(0.6)	40.5	35.3	35.4	44.5	48.8	51.5

Financing Activities

Share Issue	1.3	0.6	0.7	41.3	1.9	-	-	-	-	-	-
Dividends	(5.0)	(2.7)	(5.6)	(6.5)	(7.7)	(9.0)	(9.9)	(10.9)	(13.3)	(14.9)	(15.9)
Purchase Own Shares	-	-	(1.9)	(4.0)	-	-	-	-	-	-	-
Settlement of Own Shares	1.1	-	0.8	0.9	1.1	-	-	-	-	-	-
Borrowings	15.1	(0.4)	-	16.8	14.7	-	-	-	-	-	-
Repayments	-	-	(9.0)	16.8	-	-	-	-	-	-	-
Lease Repayments	(1.3)	(2.5)	(1.9)	(2.3)	(3.8)	(1.8)	(1.3)	(1.3)	(1.8)	(1.8)	(1.8)
Net Cash from Financing	11.1	(5.1)	(16.9)	46.2	6.0	(10.8)	(11.2)	(12.2)	(15.1)	(16.7)	(17.7)

Cash Reconciliation

Net Increase in Cash	(24.9)	30.3	(1.1)	1.5	5.4	29.7	24.2	23.2	29.4	32.1	33.9
Forex	2.9	0.8	(1.7)	(4.9)	3.7	-	-	-	-	-	-
Cash Start	38.5	16.7	41.5	38.7	35.3	49.6	79.3	103.5	126.7	156.1	188.2
Cash End	16.5	47.8	38.7	35.3	44.4	79.3	103.5	126.7	156.1	188.2	222.1

FY33E FY34E	
53.9	56.2
16.1	16.8
4.6	4.6
5.9	5.9
2.0	2.0
-	-
2.0	2.0
-	-
84.5	87.5
(3.6)	(3.0)
(7.8)	(6.6)
9.5	8.0
(1.9)	(1.6)
82.6	85.9
(2.5)	(2.5)
(16.1)	(16.8)
64.0	66.6
0.5	0.5
(10.5)	(10.9)
-	-
(10.0)	(10.4)
54.0	56.2
-	-
(16.7)	(17.4)
-	-
-	-
-	-
(1.8)	(1.8)
(18.5)	(19.2)
35.5	37.0
-	-
222.1	257.6
257.6	294.6

Balance Sheet										
£m	H1 26A	H2 26A	FY24A	FY25A	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
Non-Current Assets										
Goodwill	51.5	81.4	50.1	81.4	80.9	80.9	80.9	80.9	80.9	80.9
Intangible Assets	3.7	48.4	2.8	49.1	47.9	42.0	36.1	30.2	24.3	18.4
RoU Assets	7.5	9.9	7.8	9.7	9.0	6.1	6.1	6.1	6.1	6.1
PPE Net	24.3	39.4	19.4	31.0	42.3	44.7	48.1	51.7	55.9	60.7
Deferred tax, other	2.6	13.5	2.5	7.9	6.8	6.8	6.8	6.8	6.8	6.8
Sum Fixed Assets	89.6	192.6	82.6	179.1	186.9	180.5	178.0	175.7	174.0	172.9
Current Assets										
Inventories	39.3	56.6	33.3	52.1	48.0	53.8	54.6	59.0	63.1	67.5
Trade Receivables	70.5	106.3	79.4	89.0	129.9	103.2	119.2	128.9	137.9	147.6
Derivatives, tax	3.4	7.6	1.9	6.5	6.7	7.7	8.5	9.2	9.9	10.5
Cash, Equivalents	75.4	53.2	55.2	74.6	49.6	79.3	103.5	126.7	156.1	188.2
Sum Current Assets	188.6	223.7	169.8	222.2	234.2	244.0	285.8	323.8	367.0	413.9
Current Liabilities										
Trade Payables, other	(99.0)	(111.7)	(81.0)	(126.6)	(138.8)	(125.6)	(144.9)	(156.7)	(167.7)	(179.4)
Derivatives, tax	(3.2)	(3.9)	(2.5)	(3.9)	(7.0)	(8.1)	(9.0)	(9.7)	(10.4)	(11.1)
Leases	(1.8)	(2.3)	(1.8)	(2.3)	(2.1)	(2.1)	(2.1)	(2.1)	(2.1)	(2.1)
Borrowings	(26.1)	(37.5)	(15.5)	(37.0)	-	-	-	-	-	-
Provisions	(11.0)	(8.7)	(8.9)	(6.4)	(15.9)	(14.4)	(14.4)	(14.4)	(14.4)	(14.4)
Other payables	-	(0.1)	-	-	-	-	-	-	-	-
Sum Current Liabilities	(141.1)	(164.2)	(109.7)	(176.2)	(163.8)	(150.2)	(170.4)	(182.9)	(194.5)	(207.0)
Non-Current Liabilities										
Deferred Tax	(1.1)	(6.1)	(0.9)	(13.5)	(4.1)	(4.1)	(4.1)	(4.1)	(4.1)	(4.1)
Leases	(6.3)	(7.2)	(6.7)	(7.2)	(6.8)	(5.0)	(3.7)	(2.4)	(0.6)	(0.6)
Borrowings	(11.3)	(48.2)	(16.5)	(32.4)	(47.4)	(47.4)	(47.4)	(47.4)	(47.4)	(47.4)
Provisions	(2.4)	(18.2)	(3.2)	(4.1)	(7.9)	(7.1)	(7.1)	(7.1)	(7.1)	(7.1)
Retirement Benefit	(4.6)	(3.1)	(5.6)	(3.2)	(2.8)	(2.8)	(2.8)	(2.8)	(2.8)	(2.8)
Other	-	-	-	-	-	-	-	-	-	-
Sum Long-term Liabilities	(25.7)	(82.8)	(32.9)	(60.4)	(69.0)	(66.4)	(65.1)	(63.8)	(62.0)	(62.0)
Equity										
Share Capital	4.2	4.7	4.2	4.7	4.7	4.7	4.7	4.7	4.7	4.7
Share Premium	33.5	74.2	32.2	73.0	74.8	74.8	74.8	74.8	74.8	74.8
Own Shares	(7.4)	(6.3)	(4.6)	(7.4)	(6.3)	(6.3)	(6.3)	(6.3)	(6.3)	(6.3)
Share Option Reserve	3.3	4.6	2.9	4.7	4.5	4.5	4.5	4.5	4.5	4.5
Other	-	-	-	-	-	0.5	(1.2)	(2.8)	(0.8)	(0.6)
Retained Earnings	76.8	88.3	74.1	83.7	108.7	128.0	150.2	176.2	205.9	239.1
Equity	110.4	165.5	108.8	158.7	186.4	206.2	226.6	251.1	282.8	316.1
Non-Controlling Interests	0.8	1.4	1.2	1.5	1.8	1.7	1.7	1.7	1.7	1.7
Net Cash / (Debt) non-IFRS16	38.0	(32.5)	23.2	5.2	2.2	31.9	56.1	79.3	108.7	140.8
Balance Check						0.00	0.00	0.00	0.00	0.00

FY32E	FY33E	FY34E
80.9	80.9	80.9
12.5	6.6	0.7
6.1	6.1	6.1
66.1	72.0	78.3
6.8	6.8	6.8
172.4	172.4	172.8
71.6	75.2	78.2
156.4	164.3	170.8
11.2	11.7	12.2
222.1	257.6	294.6
461.3	508.7	555.8
(190.2)	(199.7)	(207.7)
(11.7)	(12.3)	(12.8)
(2.1)	(2.1)	(2.1)
-	-	-
(14.4)	(14.4)	(14.4)
-	-	-
(218.4)	(228.5)	(237.0)
(4.1)	(4.1)	(4.1)
-	-	-
(47.4)	(47.4)	(47.4)
(7.1)	(7.1)	(7.1)
(2.8)	(2.8)	(2.8)
-	-	-
(61.4)	(61.4)	(61.4)
4.7	4.7	4.7
74.8	74.8	74.8
(6.3)	(6.3)	(6.3)
4.5	4.5	4.5
0.1	0.3	0.5
274.3	311.5	350.3
352.2	389.5	428.5
1.7	1.7	1.7
174.7	210.2	247.2
0.00	0.00	0.00

P&L Assumptions

	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E
Revenue Growth	6.9%	10.7%	8.1%	7.0%	7.0%	6.0%	5.0%	4.0%
Gross Margin	36.0%	38.0%	40.0%	40.0%	40.0%	39.5%	39.0%	38.5%
OpEx % Revenue	23.3%	24.8%	26.3%	25.5%	25.0%	24.5%	24.0%	23.5%
R&D Credits	3.0	3.0	3.0	3.0	3.0	3.0	3.0	3.0
Amortisation	5.9	5.9	5.9	5.9	5.9	5.9	5.9	5.9
PPE Depreciation	4.6	4.6	4.6	4.6	4.6	4.6	4.6	4.6
RoU Depreciation	2.9	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Interest Income	0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.5
Interest Expense	2.5	2.6	2.7	2.5	2.5	2.5	2.5	2.5
Tax Rate	23.0%	25.0%	24.0%	23.0%	23.0%	23.0%	23.0%	23.0%
Diluted Shares (m)	46.6	46.6	46.6	46.6	46.6	46.6	46.6	46.6
EBIT Adjustment	2.8	2.9	2.9	2.8	2.8	2.8	2.8	2.8

Cash Flow Assumptions

	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E
Share-based payments	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00
Provisions	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Interest Income	0.50	0.50	0.50	0.50	0.50	0.50	0.50	0.50
Interest Paid	6.40	6.30	6.20	6.40	6.40	6.40	6.40	6.40
Capex	7.00	8.00	8.20	7.00	7.00	7.00	7.00	7.00
Acquisitions	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Dividend Payout Ratio	31.8%	30.8%	29.5%	31.0%	31.0%	31.0%	31.0%	31.0%
Lease Payments	1.80	1.30	1.30	1.80	1.80	1.80	1.80	1.80
Inventory	(5.80)	(0.80)	(4.40)	15.1%	15.1%	15.1%	15.1%	15.1%
Receivables Movement	26.70	(16.00)	(9.70)	32.9%	32.9%	32.9%	32.9%	32.9%
Payables Movement	(13.20)	19.30	11.80	40.0%	40.0%	40.0%	40.0%	40.0%

Balance Sheet Assumptions

[illegible]

Cost of Capital			
Risk-Free Rate	5.1%	5.1%	5.1%
Equity Risk Premium	4.2%	4.2%	4.2%
Levered Beta	0.59x	0.59x	0.59x
Cost of Equity	7.5%	7.5%	7.5%
Pre-tax cost of debt	5.3%	5.5%	5.7%
Tax rate	23.0%	25.0%	24.0%
After-tax Cost of Debt	4.1%	4.1%	4.3%
Market Value of Equity	609	609	609
Market Value of Debt	47.40	47.40	47.40
Debt Weight	7.2%	7.2%	7.2%
Equity Weight	92.8%	92.8%	92.8%
WACC	7.3%	7.3%	7.3%
Terminal Growth Rate	2.5%		

DCF Assumptions	
DCF WACC	7.3%
DCF Terminal Growth	2.5%

Discounted Cash Flow Valuation

Unlevered Free Cash Flow Forecast

	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E
Revenue	327.4	362.4	391.8	419.2	448.5	475.5	499.2	519.2
Revenue Growth	6.9%	10.7%	8.1%	7.0%	7.0%	6.0%	5.0%	4.0%
EBIT	41.6	47.7	53.7	58.7	63.7	68.0	71.4	74.2
EBIT Margin	12.7%	13.2%	13.7%	14.0%	14.2%	14.3%	14.3%	14.3%
Cash Tax rate	23.0%	25.0%	24.0%	23.0%	23.0%	23.0%	23.0%	23.0%
NOPAT	32.0	35.8	40.8	45.2	49.0	52.4	55.0	57.2
Depreciation and Amortisation	13.4	10.5	10.5	10.5	10.5	10.5	10.5	10.5
Capex % Revenue	2.1%	2.1%	2.1%	2.1%	2.1%	2.1%	2.1%	2.1%
Capital Expenditure	7.0	8.0	8.2	8.8	9.4	10.0	10.5	10.9
Change in NWC	7.7	2.5	-2.3	-2.2	-2.3	-2.1	-1.9	-1.6
Unlevered FCF	46.1	40.8	40.8	44.7	47.8	50.7	53.1	55.2
Discount Period	1	2	3	4	5	6	7	8
Discount Factor	93.2%	86.9%	81.0%	75.5%	70.4%	65.7%	61.2%	57.1%
Present Value of FCF	43.0	35.4	33.1	33.8	33.7	33.3	32.5	31.5

Terminal Value

Terminal Growth Rate	2.5%
Terminal Year FCF	55.2
Terminal Value	1187.9
PV of Terminal Value	678.0

Enterprise-to-Equity Bridge

PV of Explicit Forecast	276.2
Enterprise Value	954.3
Add: Cash	49.6
Less: Borrowings	47.4
Less: Non-Controlling Interests	1.8
Equity Value	954.7
Diluted Shares (m)	46.6
Implied Value per Share (p)	2,049p
Current Share Price (p)	1,194p
Upside / (Downside)	71.6%
Implied Price Change (p)	855p
Current Market Capitalisation	556.4

WACC / Terminal Growth Sensitivity

WACC

	Terminal Growth Rate =>					
	1.50%	2.00%	2.50%	3.00%	3.50%	
6.50%	2,065p	2,234p	2,446p	2,718p	3,081p	6.50%
7.00%	1,872p	2,006p	2,170p	2,374p	2,638p	7.00%
7.50%	1,711p	1,819p	1,949p	2,108p	2,306p	7.50%
8.00%	1,575p	1,664p	1,769p	1,894p	2,048p	8.00%
8.50%	1,459p	1,533p	1,618p	1,720p	1,841p	8.50%

Current Share Price	1,194p
Minimum Implied Price	1,459p

Maximum Implied Price	2,638p
Minimum Upside	22.2%
Maximum Upside	120.9%

DCF Assumptions

WACC	7.3%
Terminal Growth	2.5%

/ Terminal Growth Upside Sensitivity

Terminal Growth Rate =>

1.50% **2.00%** **2.50%** **3.00%** **3.50%**

72.9%	87.1%	104.8%	127.6%	158.0%
56.8%	68.0%	81.7%	98.9%	120.9%
43.3%	52.4%	63.2%	76.5%	93.1%
31.9%	39.4%	48.1%	58.6%	71.5%
22.2%	28.4%	35.5%	44.0%	54.2%

Cohort PLC Comparable Companies Analysis			
Company Information			
Company	Ticker	Share Price (Local)	Shares Outstanding
Cohort	CHRT-GB	12.20	46.6
Saab B	SAAB.B-SE	49.59	541.2
Chemring	CHG-GB	5.58	277.6
BAE Systems	BA-GB	20.97	3,018.0
QinetiQ Group	QQ-GB	5.30	543.3
Elbit Systems	ESLT-IL	536.93	48.1
HENSOLDT	HAG-DE	74.42	115.5
L3Harris Technologies	LHX-US	192.77	187.3
Average			
Median			

Cohort Implied Comparable Valuation			
Method	Selected Multiple	Cohort Metric	Implied Share Price
LTM EV/Sales	3.4x	306.4	2,210p
LTM EV/EBITDA	17.9x	44.8	1,719p
LTM EV/EBIT	25.7x	31.5	1,735p
FY1 PE	28.3x	66.8p	1,889p
Median Implied Share Price			1,812p
Current Share Price			1,194p
Upside / (Downside)			51.8%

Market Data						
Market Capitalisation (£m)	Enterprise Value (£m)	LTM Sales	LTM EV/Sales	LTM EBIT (£m)	LTM EV/EBIT	
574.50	576.90	306.40	1.9x	31.50	18.3x	
26917.10.0	26660.40.0	7020.30.0	3.8x	715.00	37.3x	
1553.90.0	1683.40.0	500.50.0	3.4x	65.60	25.7x	
61919.80.0	64509.80.0	29380.0.0	2.2x	2,666.00	24.2x	
2816.60.0	2889.90.0	1922.60.0	1.5x	204.80	14.1x	
26074.0.0	25678.90.0	6347.40.0	4.1x	584.30	43.9x	
8595.80.0	9200.70.0	2327.30.0	4.0x	240.70	38.2x	
36223.10.0	43311.50.0	17085.50.0	2.5x	1,897.60	22.8x	
			3.1x	29.5x		
			3.4x	25.7x		

Trading Multiples					Operating Metrics		
LTM EBITDA (£m)	LTM EV/EBITDA	P/E TTM	P/E FY1	P/E FY2	Gross Margin	EBITDA Margin	EBIT Margin
44.80	12.9x	23.4x	18.1x	16.2x	35.3%	15.7%	13.1%
946.30	28.2x	47.2x	42.6x	33.4x	22.9%	14.8%	11.1%
94.20	17.9x	44.6x	28.3x	23.2x	--	20.5%	15.4%
3,843.00	16.8x	29.4x	25.1x	21.9x	13.3%	14.1%	11.2%
313.00	9.2x	26.4x	15.7x	14.1x	10.1%	17.3%	12.1%
717.90	35.8x	54.5x	48.7x	41.0x	25.8%	12.7%	10.5%
391.10	23.5x	82.4x	47.1x	35.8x	24.8%	19.1%	12.0%
2,784.30	15.6x	26.1x	22.0x	19.3x	27.6%	18.3%	16.3%
	21.0x	44.4x	32.8x	27.0x	20.8%	16.7%	12.7%
	17.9x	44.6x	28.3x	23.2x	23.9%	17.3%	12.0%

CS	
Pretax Margin	Net Margin
12.6%	9.5%
11.0%	8.5%
13.7%	10.3%
10.0%	7.4%
11.7%	8.7%
9.2%	8.3%
10.8%	7.4%
11.6%	10.0%
11.1%	8.7%
11.0%	8.5%

Dividend Discount Valuation

	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E
Dividend Forecast								
EPS	66.8	74.9	85.5	98.3	109.1	115.8	121.6	126.6
Dividend Payout Ratio	31.8%	30.8%	29.5%	31.0%	31.0%	31.0%	31.0%	31.0%
Dividend per Share	21.2	23.1	25.2	30.5	33.8	35.9	37.7	39.2
Dividend Growth	18.6%	8.7%	9.3%	20.9%	10.9%	6.1%	5.1%	4.1%
Discount Period	1	2	3	4	5	6	7	8
Cost of Equity	7.5%	7.5%	7.5%	7.5%	7.5%	7.5%	7.5%	7.5%
Discount Factor	93.0%	86.5%	80.5%	74.9%	69.6%	64.8%	60.2%	56.0%
PV of Dividend	19.8	20.0	20.3	22.8	23.5	23.2	22.7	22.0
Terminal Value								
Terminal Growth Rate	2.5%							
Terminal Dividend Value	803p							
PV of Terminal Dividend Value	450p							
PV of Forecast Dividends	174p							
Valuation Summary								
Implied Value per Share (p)	624p							
Current Share Price (p)	1,194p							
Upside / (Downside)	(47.7%)							

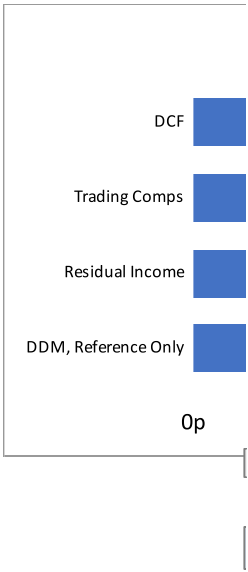
Residual Income Valuation								
	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E
Residual Income Forecast								
EPS	60.8	68.7	79.3	92.3	103.1	109.7	115.6	120.6
Dividend per Share	21.2	23.1	25.2	30.5	33.8	35.9	37.7	39.2
Opening Book Value per Share	400.0	439.5	485.2	539.2	601.1	670.3	744.2	822.1
Cost of Equity	7.5%	7.5%	7.5%	7.5%	7.5%	7.5%	7.5%	7.5%
Equity Charge	30.04	33.01	36.44	40.50	45.14	50.34	55.89	61.74
Residual Income per Share	30.73	35.70	42.84	51.84	57.93	59.40	59.75	58.84
Discount Period	1	2	3	4	5	6	7	8
Discount Factor	93.0%	86.5%	80.5%	74.9%	69.6%	64.8%	60.2%	56.0%
PV of Residual Income	28.6	30.9	34.5	38.8	40.3	38.5	36.0	33.0
Ending Book Value per Share	439.5	485.2	539.2	601.1	670.3	744.2	822.1	903.5
Terminal Value								
Terminal Residual Income Growth	2.5%							
Cost of Equity	7.5%							
Terminal Residual Income Value	1,204p							
PV of Terminal Residual Income	674p							
PV of Explicit Residual Income	281p							
Current Book Value per Share	400p							
Valuation Summary								
Implied Value per Share	1,355p							
Current Share Price	1,194p							
Upside / (Downside)	13.5%							

Valuation Summary

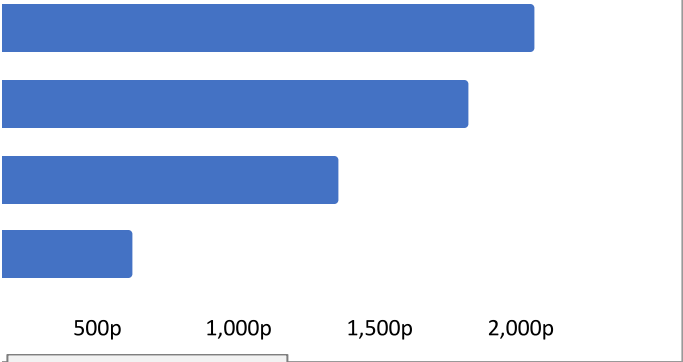
Valuation Method	Implied Value per Share	Selected Weight	Weighted Value
DCF	2,049p	50%	1,024p
Trading Comps	1,812p	30%	544p
Residual Income	1,355p	20%	271p
<i>DDM, Reference Only</i>	624p	-	-

Total Weight **100%**

Blended Target Price	1,839p
Current Share Price	1,194p
Upside / (Downside)	54.0%



Implied Share Price by Method



Current Share Price | **1,194p**

Blended Target Price | **1,839p**

Share Price & Trading Overview								
Monthly Share Price Seasonality								
	Jan	Feb	Mar	Apr	May	Jun	Jul	
6Y Avg	4.8%	1.9%	0.4%	7.7%	5.6%	(5.0%)	4.8%	
5Y Avg	0.4%	(0.2%)	1.6%	9.2%	4.0%	(3.8%)	5.8%	
2026	27.0%	12.2%	(6.0%)	0.5%	13.3%	(11.0%)	(0.3%)	
2025	5.5%	(5.7%)	10.1%	14.6%	7.7%	5.0%	(6.1%)	
2024	7.6%	(10.0%)	24.5%	11.6%	9.6%	(8.5%)	12.0%	
2023	5.0%	(0.6%)	(10.6%)	(7.3%)	12.6%	(2.4%)	7.1%	
2022	(14.0%)	20.2%	(17.9%)	19.8%	(3.3%)	(7.5%)	13.1%	
2021	(2.1%)	(5.0%)	2.0%	7.0%	(6.5%)	(5.7%)	3.0%	

Share Price Risk Metrics					
	90 Day	52 Weeks	3 Years	5 Years	
Beta (Raw)	1.02x	0.68x	0.66x	0.36x	
Beta (Adjusted)	1.01x	0.79x	0.77x	0.57x	
Beta (Unlevered)	0.94x	0.63x	0.61x	0.33x	
Alpha	0.03	0.01	0.11	0.08	
R-Squared	0.03	0.02	0.03	0.01	
Average Price Change	0.1%	0.1%	0.2%	0.1%	
Standard Deviation	55.2%	47.9%	42.2%	40.7%	

Dividend Profile	
CHRT-GB	
Indicated Annual Dividend	0.18p
Dividend Yield	1.5%
1 Year Dividend Growth	9.8%
3 Year Dividend Growth	33.6%
5 Year Dividend Growth	61.3%
Dividend Increases in Five Years	5
Payout Ratio	34.3%
Dividend Coverage	2.9x

Revenue Exposure By Geography		
	% of Total Revenue	% Change (Y/Y)
United Kingdom	43.60%	(20.50%)
Australia	11.40%	295.40%
Portugal	5.40%	(17.40%)
Germany	2.70%	143.80%
France	2.20%	(6.60%)
Italy	2.20%	20.60%
Russian Federation	2.10%	29.80%
United States	2.10%	(44.00%)

Aug	Sep	Oct	Nov	Dec
(3.9%)	--	--	--	--
(4.2%)	2.2%	(3.5%)	(0.2%)	2.0%
(2.6%)	--	--	--	--
(12.0%)	11.7%	(6.4%)	(18.7%)	(16.8%)
5.7%	7.0%	(6.5%)	16.0%	5.8%
(2.6%)	(1.3%)	(2.6%)	6.5%	9.0%
(5.8%)	(8.3%)	(4.9%)	(9.2%)	22.7%
(6.3%)	1.8%	3.2%	4.5%	(10.8%)